The National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Rules, 2018

MINISTRY OF CORPORATE AFFAIRS
NOTIFICATION
New Delhi, the 21st March, 2018

[Amended upto date[1]]

G.S.R. 262(E).—In exercise of the powers conferred by sub-section (3) of section 132 of the Companies Act, 2013 (18 of 2013), the Central Government hereby makes the following rules, namely :-

1. Short Title and Commencement.-(1) These rules may be called The National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Rules, 2018.

(2) They shall come into force on the date of their publication in the Official Gazette.

2. Definitions.-(1) In these rules, unless the context otherwise requires,

(a) "**Act**" means the Companies Act, 2013 (18 of 2013);

(b) "**Authority**" means the National Financial Reporting Authority constituted under sub-section (1) of section 132 of the Act.

(2) Words and expressions used in these rules and not defined, but defined in the Act shall have the meanings respectively assigned to them in the Act.

3. Composition of Authority.- (1) The Authority shall consist of the following persons to be appointed by the Central Government, namely:-

(a) a chairperson;

(b) three full time members; and

(c) nine part time members.

(2) The chairperson shall be a person of eminence, ability, integrity and standing and having expertise and experience of not less than twenty-five

years in the field of accountancy, auditing, finance or law.

(3) A full-time member shall be a person of ability, integrity and standing and having expertise and experience of not less than twenty years in the field of accountancy, auditing, finance or law.

(4) The chairperson and all members, before being appointed, shall submit a declaration to the Central Government confirming that they have no conflict of interest or lack of independence in respect of such appointment as chairperson or members in Form I annexed to these rules, failing which their appointment shall not be considered.

(5) The chairperson and full-time members, shall not be associated with any audit firm including related consultancy firms during the course of their appointment and two years after ceasing to hold such appointment.

(6) A part-time member shall be a person who shall not, have any such financial or other interest as is likely to affect prejudicially his functions as a part-time member.

4. Manner of appointment.- (1) The Central Government shall appoint the chairperson and a full time member referred to in rule 3 on the recommendation of a search-cum-selection committee consisting of-

(a) Cabinet Secretary - Chairperson;

(b) Additional Principal Secretary to the Prime Minister – Member;

(c) Secretary – Ministry of Corporate Affairs– Member;

(d) Chairperson, National Financial Reporting Authority (for selection of full-time members) – Member;

(e) three experts of repute from a panel of experts in the field of accountancy, auditing, finance, law (to be nominated by the Central Government) - Members

(2) The Secretary, Ministry of Corporate Affairs shall be the convener of the search-cum-selection committee.

(3) The search-cum-selection committee shall determine its procedure for making its recommendation.

(4) No appointment of chairperson or a full time member shall be invalid merely by reason of any vacancy or absence in the search-cum-selection committee.

(5) The search-cum-selection committee shall make its recommendations in regard to appointment of chairperson or the members, as the case may be, to the Central Government [2][within a reasonable period of time] from the date of reference made to it by the Central Government.

(6) The following persons shall be appointed as part time members of the Authority namely:-

(i) one member to represent the Ministry of Corporate Affairs, who shall be an officer not below the rank of Joint Secretary, *ex-officio*;

(ii) one member to represent the Comptroller and Auditor General of India, who shall be an officer not below the rank of Accountant General or Principal Director, *ex-officio*;

(iii) one member to represent the Reserve Bank of India, who shall be an officer not below the rank of Executive Director, *ex-officio*;

(iv) one member to represent the Securities and Exchange Board of India, who shall be an officer not below the rank of Executive Director, *ex-officio*;

(v) President, Institute of Chartered Accountants of India, ex-officio;

(vi) Chairperson, Accounting Standards Board, Institute of Chartered Accountants of India, *ex-officio*;

(vii) Chairperson, Auditing and Assurance Standards Board, Institute of Chartered Accountants of India, *ex-officio*; and

(viii) two experts from the field of accountancy, auditing, finance or law.

5. Medical fitness.—No person shall be appointed as the chairperson or full time member unless he is declared medically fit by an authority specified by the Central Government in this behalf.

6. Resignation.— The chairperson or a member may, by writing under his hand addressed to the Central Government, resign from his office at any time:

Provided that the chairperson or member shall, unless he is permitted by the Central Government to relinquish office sooner, continue to hold office until the expiry of three months from the date of receipt of such notice or until a person duly appointed as a successor enters upon his office or until the expiry of his term of office, whichever is the earliest.

7. Removal from office.— (1) The Central Government may, on the recommendation of a Committee referred to in sub-rule (1) of rule 4, remove from office the chairperson or a member, who—

(a) has been adjudged as an insolvent; or

(b) has been convicted of an offence which, in the opinion of the Central Government, involves moral turpitude; or

(c) has become physically or mentally incapable of acting as the chairperson or member; or

(d) has acquired such financial or other interest as is likely to affect prejudicially his functions as the chairperson or member; or

(e) has so abused his position as to render his continuance in office prejudicial to the public interest:

Provided that the chairperson or the interested member shall not be the member of such Committee, where the subject matter of the cause is against him.

(2) No member shall be removed under clauses (b) to (e) of sub-rule (1) unless he has been given a reasonable opportunity of being heard in the matter.

8. Procedure for inquiry of misbehavior or incapacity of the chairperson or a member.— (1) If a written complaint is received by the Central Government, alleging any definite charge of misbehavior or incapacity to perform the functions of the office in respect of the chairperson or a full time member, the Ministry of Corporate Affairs shall make a preliminary scrutiny of such complaint.

(2) If on preliminary scrutiny, the Ministry of Corporate Affairs, is of the opinion that there are reasonable grounds for making an inquiry into the truth of any such misbehavior or incapacity of the chairperson or full time member, it shall make a reference to the Committee constituted under sub-rule (1) of rule 4 to conduct the inquiry:

Provided that the chairperson or the interested member shall not be the member of such committee, where the subject matter of the cause is against him.

(3) The Committee shall complete the inquiry within one hundred and twenty days time or such further time as may be extended by the Central Government on the request of the committee in this behalf.

(4) After the conclusion of the inquiry, the Committee shall submit its report to the Central Government stating therein its findings and the reasons thereof on each of the charges separately with such observations on the whole case as it may think fit.

(5) The Committee shall not be bound by the procedure laid down by the Code of Civil Procedure, 1908 (5 of 1908) but shall be guided by the principles of natural justice and shall have power to regulate its own procedure, including the fixing of date, place and time of its inquiry.

9. Term of Office.- (1) The term of office of the chairperson and a full time member shall be three years from the date on which he enters upon his office or till he attains the age of sixty-five years, whichever is earlier, and he shall be eligible for re-appointment for one more term.

(2) A part-time member shall hold office for a period, not exceeding three years, as may be specified in the order of his appointment or the period for

which he holds the substantive post by virtue of which he has been appointed as the part-time member, whichever is earlier, but shall be eligible for re-appointment.

10. Vacancy.- In case of a vacancy in the office of the chairperson or a full-time member, the Central Government shall have the power to appoint the senior most full-time member or in his absence any other full time member to officiate as chairperson.

[3][**11. Salary and allowances.** - (1) The Chairperson shall have the option to draw either a consolidated monthly salary of [4][five lakh sixty two thousand five hundred rupees] without house and car or the pay and allowances as are admissible to a Secretary to the Government of India and every full time member shall have the option to draw either a consolidated monthly salary of [5][five lakh rupees] without house and car or the pay and allowances as are admissible to an Additional Secretary to the Government of India:

Provided that where the Chairperson exercises the option to receive pay as admissible to a Secretary to the Government of India or a full time member exercises the option to receive pay as admissible to an Additional Secretary to the Government of India and is in receipt of monthly pension from either the Central Government or a State Government, the pay of such Chairperson or Member, as the case may be, shall be reduced by the gross amount of pension drawn by him:

Provided also that in respect of appointments made on the basis of advertisement issued on 12th July, 2021, where a full time member exercises the option to receive pay as admissible to an Additional Secretary to the Government of India and was in receipt of pay and allowances as are admissible to a Secretary to the Government of India prior to his or her superannuation on joining as full time member, National Financial Reporting Authority, then the same shall be fixed at the level of pay which he or she was drawing at the time of demitting his or her previous employment, subject to a limit of Rs. 2,25,000/- per month.]

[6][Provided also that the Chairperson and full time members shall be entitled to a revised consolidated monthly salary under this sub-rule from the 1st day of January, 2024.]

12. Pension, Gratuity and Provident Fund.- (1) The chairperson or a full time member shall be governed by the provisions of the Contributory Provident Fund (India) Rules, 1962 and the Contribution Pension System.

(2) Additional pension and gratuity shall not be admissible for service rendered in the Authority.

13. Leave.— (1) The chairperson and a full time member shall be entitled to following leave, namely :-

(a) earned leave at the rate of thirty days for every completed calendar year of service;

(b) casual leave, not exceeding eight days in a calendar year.

(2) The payment of leave salary during leave shall be governed by rule 40 of the Central Civil Services (Leave) Rules, 1972.

(3) The chairperson or a full time member shall be entitled to encashment of leave in respect of the earned Leave standing to his credit, subject to the condition that maximum leave encashment, including the amount received at the time of retirement from previous service shall not in any case exceed the prescribed limit under the Central Civil Service (Leave) Rules,1972.

14. Leave and Foreign Travel Sanctioning Authority. – (1) The leave sanctioning authority,—

(a) for a full-time member, shall be the chairperson and in case of absence of chairperson, the Central Government; and

(b) for the chairperson, shall be the Central Government.

(2) The Central Government shall be the sanctioning authority for foreign travel of the chairperson or a fulltime member.

[7][**15. House rent allowance.-** (1) The Chairperson or a full time member, who has opted for pay and allowances as are admissible to a Secretary or an Additional Secretary to the Government of India, as the case may be, shall be entitled to house rent allowance at the same rate as is admissible to a

Central Government officer holding a Group 'A' post carrying the same pay:

Provided that the Chairperson or a full-time member shall not be eligible for house rent allowance in case he is in occupation of, or occupies, a General Pool Residential Accommodation which has been allotted to him:

(2) Nothing in this rule shall apply to the Chairperson or a full-time member who has opted for a consolidated salary of four lakh fifty thousand rupees per month or four lakh rupees per month, as the case may be.]

[8][**16. Transport Allowance.-**(1) The Chairperson or a full time member, who has opted for pay and allowances as are admissible to a Secretary or an Additional Secretary to the Government of India, as the case may be, shall be entitled to the facility of staff car for journeys for official and private purposes in accordance with the facilities as are admissible to a Central Government officer holding a Group 'A' post carrying the same pay as per the provisions of applicable staff car rules.

(2) Nothing in this rule shall apply to the Chairperson or a full-time member who has opted for a consolidated salary of four lakh fifty thousand rupees per month or four lakh rupees per month, as the case may be.]

17. Declaration of Financial and other Interests.—The chairperson or a full time member shall, before entering upon his office, declare his assets, liabilities and financial and other interests.

18. Other conditions of service.—[9][(1) The terms and conditions of service of a chairperson or a full time member who has opted for pay and allowances as are admissible to a Secretary or an Additional Secretary to the Government of India, as the case maybe, with respect to which no express provision has been made under these rules, shall be such as are applicable to a Central Government officer holding a Group 'A' post carrying the same pay.]

(2) The chairperson or a full time member shall not practise before the Authority after retirement or resignation or removal from the service of the Authority.

(3) The chairperson or a full time member shall not undertake any

arbitration work while functioning in the Authority.

(4) The chairperson or a full time member shall not, for a period of two years from the date on which he ceases to hold office, accept any employment in, or connected with the management or administration of, any person who has been a party to a proceeding before the Authority:

Provided that nothing contained in this rule shall apply to any employment under the Central Government or a State Government or a local authority or in any statutory authority or any corporation established by or under any Central, State or Provincial Act or a Government company as defined in clause (45) of section 2 of the Companies Act, 2013 (18 of 2013).

19. Oath of office and secrecy.—Every person appointed to be the chairperson or a full time member shall, before entering upon his office, make and subscribe an oath of office and secrecy in Form II and Form III annexed to these rules.

20. Sitting fee and allowances of Part-time Members. – (1) A part-time member other than those holding the position on *ex-officio* basis, shall be entitled to receive remuneration by way of a sitting fee of rupees six thousand only for each meeting of the Authority attended by him.

(2) A part-time member while on tour (including the journey undertaken to attend a meeting of the Authority) shall also be entitled to travelling allowance and daily allowances at the same rates and scale as are applicable to a Group A officer in Senior Administrative Grade in the Central Government.

21. Power to Relax.– Where the Central Government is of the opinion that it is necessary or expedient so to do, it may, by order for reasons to be recorded in writing relax any of the provisions of these rules with respect to any class or category of persons.

22. Interpretation.—If any question arises relating to the interpretation of these rules, the decision of the Central Government thereon shall be final.

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1. Last amended on 18.09.2024
2. Substituted by the National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Amendment Rules, 2019 vide Notification No. G.S.R. 125(E) dated 18th February, 2019, w.e.f. 18.02.2019, for the words "*within a period not exceeding one hundred and twenty days*".
3. Substituted by the National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Amendment Rules, 2022 vide Notification No. G.S.R. 165(E) dated 28th February, 2022, w.e.f. 28.02.2022, for the rule:

> "**11. Salary and allowances.**—(1) The chairperson shall be paid a salary of two lakhs fifty thousand rupees (fixed) and other allowances and benefits as are admissible to a Central Government officer holding posts carrying the same pay.
>
> (2) A full time member shall be paid a salary of two lakhs twenty-five thousand rupees and other allowances and benefits as are admissible to a Central Government Officer holding a Group 'A' post carrying the same pay.
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> (3) In case the person appointed as the chairperson or full time member is in receipt of any pension, the pay of such person shall be reduced by the gross amount of pension drawn by him.".

4. Substituted by National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Amendment Rules, 2024 vide Notification No. G.S.R. 543(E) dated 6th September, 2024, w.e.f. 06.09.2024, for the words "*four lakh fifty thousand rupees*".
5. Substituted by National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Amendment Rules, 2024 vide Notification No. G.S.R. 543(E) dated 6th September, 2024, w.e.f. 06.09.2024, for the words "*four lakh rupees*".
6. Inserted National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Second Amendment Rules, 2024 vide Notification No. G.S.R. 577(E) dated 18th September, 2024, w.e.f. 18.09.2024.
7. Substituted by the National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Amendment Rules, 2022 vide Notification No. G.S.R. 165(E) dated 28th February, 2022, w.e.f. 28.02.2022, for the rule:

   > "**15. House rent allowance.**—The chairperson or a full time Member shall be entitled to the house rent allowance at the same rate as are admissible to a Central Government officer holding a Group `A' post carrying the same pay:
   >
   > Provided that the chairperson or a full-time member shall not be eligible for house rent allowance in case he is declared eligible for general pool residential accommodation and occupies Government accommodation allotted to him.".

8. Substituted by the National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Amendment Rules, 2022 vide Notification No. G.S.R. 165(E) dated 28th February, 2022, w.e.f. 28.02.2022, for the rule:

   > "**16. Transport allowance.**—The chairperson or a full time member shall be entitled to the facility of staff car for journeys for official and private purposes in accordance with the facilities as are admissible to a Central Government officer holding a Group `A' post carrying the same pay as per the provisions of applicable staff car rules.".

9. Substituted by the National Financial Reporting Authority (Manner of Appointment and other Terms and Conditions of Service of Chairperson and Members) Amendment Rules, 2022 vide Notification No. G.S.R. 165(E) dated 28th February, 2022, w.e.f. 28.02.2022, for sub-rule:

   > "(1) The terms and conditions of service of a chairperson or a full time member with respect to which no express provision has been made in these rules, shall be such as are admissible to a Central Government officer holding a Group `A' post carrying the same pay.".